Composite vs Mixed Supply

bundle: natural or forced?

Indirect Tax Laws

In simple words If items naturally go together, tax follows the main item. If they are just packed together, tax follows the highest-taxed item.

1 Composite supply

A supply by a taxable person to a recipient of two or more taxable supplies that are naturally bundled and supplied together in the ordinary course of business, one being the principal supply.

Natural bundling is the test

2 Mixed supply

Two or more individual supplies made together for a single price, which are not naturally bundled (not a composite supply). Single price alone does not make it mixed.

Check natural bundling first

1. Section 8(a) CGST: composite supply is taxed as the principal supply.
2. Section 8(b) CGST: mixed supply is taxed as the supply with the highest rate of tax.
3. Composite supply needs natural bundling in the ordinary course of business.
4. Single price is necessary for mixed supply, but it does not decide the type



Swipe for the summary →

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THE 2-WAY COMPARISON

same box, different tax!

Composite vs Mixed Supply (CGST)

POINT	COMPOSITE	MIXED
Natural bundling	Yes	No
Principal supply	Exists	Does not exist
Tax treatment	Rate of principal supply	Highest-rate supply
Governing clause	Section 8(a)	Section 8(b)

BUNDLING DECIDES, NOT THE PRICE! Ask first if the supplies are naturally bundled; only then look at the price and the tax treatment.

Swipe for a memory trick ⟶

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STUDY TRICK

Composite vs Mixed Supply (CGST)

picture the gift box

NATURAL = PRINCIPAL; PACKED = PEAK

Naturally bundled goes with the Principal supply. Merely packed together takes the Peak (highest) rate.

HOW TO ATTEMPT IT

1 Identify all supplies together → 2 Check natural bundling →

3 If yes: find the principal supply → 4 If no: pick the highest-rate supply →

5 Apply Section 8 treatment

EXAM TIP

Write the test in words: naturally bundled in the ordinary course of business. Then name Section 8(a) or 8(b).

DOUBT BUSTER

Single price is there, so is it always mixed supply? No. A composite supply can also be at one price. Check natural bundling first; if it is bundled naturally, it is composite.

Swipe for common mistakes →

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COMMON MISTAKES

Composite vs Mixed Supply (CGST)

don't pack the wrong box

✗ Mixed supply is taxed at the principal supply rate

✓ Mixed supply is taxed as the supply with the highest rate of tax.

✗ Composite supply is taxed at the highest rate

✓ Composite supply is taxed as the principal supply.

✗ Single price means mixed supply

✓ Single price is necessary but not decisive; if naturally bundled, it is composite.

✗ Any combo sold together is composite

✓ It is composite only if naturally bundled in the ordinary course of business.

TOMORROW'S CA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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